

HS 652: Advanced Microeconomic Theory

Course Code	HS 652
Course Name	Advanced Microeconomic Theory
L-T-P-C	3-0-0-3
Prerequisites	Microeconomics
Intended for	Ph. D.
Approval	6th Senate (May 2014)

Course Contents

- **Module I** Behaviouristic approach to demand analysis, Hicks logic ordering theory of demand, attribute theory of demand, Consumer theory - basic building blocks of choices and preferences leading to utility, constrained maximization problems, duality in consumer theory: expenditure and consumer preference, convexity and monotonicity, indirect utility and consumer preferences, revealed preference theory; weak and strong axiom, dynamic stability analysis; Marshallian and Walrasian stability. [12 Lectures]
- **Module II**
 - **Sub-module 1** Perfect competition and derivation of firms and industry supply curve; Alchian & Demsetz (AER, 1972), Fama (JPE, 1980), Jensen & Meckling (JFE, 1976), Coase (Economica, 1937), theory of limit pricing; Bains model, Sylos model and generalization of Sylos model, role of sunk cost and R&D as a strategic entry barrier, non-linear pricing strategy (two- part tariff). Oligopoly and theory of game, strict and weak dominance Prisoners dilemma and instability of cartels, Nash equilibrium, pure strategy and mixed strategies, extensive games with perfect information, extensive games with imperfect information, constant sum game with a special case of zero-sum games and computation, auctions and mechanism design. [15 Lectures]
 - **Sub-module 2** Individual behavior under uncertainty, Information Economics moral hazards, adverse selection and asymmetric information. Market perfect and imperfect competition (Bilateral monopoly and duopsony). [6 Lectures]
- **Module III** Walrasian equilibrium, competitive equilibrium, Ronald Jones (1965, JPE), value judgment and welfare, social welfare and theory of social choice. Arrows theorem, measurability, comparability, and some possibilities, the Rawlsian form, the utilitarian form, flexible forms. [9 Lectures]

Text Books

1. Mas-colell, Whinston and Green, **Microeconomic Theory**, Oxford University Press, 1995.
2. Robert Gibbons, **Game theory for applied economists**, Princeton University Press, 1992.
3. Hal R Varian, **Microeconomic Analysis**, W. W. Norton & Company, 1992.

References

1. Bernheim, B. Douglas and Whinston, Michael, **Microeconomics**, McGraw-Hill, 2013.
2. Martin J. Osborne, **An Introduction to Game Theory**, University of Toronto, Oxford University Press, 2003.
3. James Friedman, **Oligopoly Theory**, Cambridge University Press, 2008.
4. Geoffrey, A. Jehle Philip J. Reny, **Advanced Microeconomic Theory**, 3rd Edition, Prentice Hall, 2011.
5. Joel Watson, **Strategy: An Introduction to Game Theory**, W.W. Norton & Co, 2013.
6. David M. Kreps, **A Course in Microeconomic Theory**, Princeton University Press, 1990.